

Consumer Behavior

Points to Ponder

- *Pay for 3 pieces of 'Liril' and get the 4th free !!!*
- *Buy one 'Harpic' and get an 'Odonil' free !!!*
- *Exchange your Maruti Alto for a Maruti Swift at a Rs 40,000/= discount !!!*
- *Buy 'Fast Track' watches and get 5 different colored wrist-bands free !!!*
- *New LG Television with unique 'Child Lock' feature !!!*

Why are such offers given to consumers??

Some more examples.....

- *'Dar ke aage jeet hai'* Mountain Dew
- *'Pappu Pass ho gaya'* Cadbury's
- *'We also make steel'* Tata Steel
- *'Filmi sitaron ka saundarya sabun'* Lux
- *'Jaago India Jaago'* Tata Tea
- *'Desh ki Dhadkan'* Hero Honda
- *'An Idea can change your life'* Idea

How do such slogans impact consumers??

Consumer Behaviour.....*what is it?*

All such activities done by a consumer, while **obtaining** , **consuming** and **disposing** of products and services. This includes the decision making processes that precede and follow such actions.

Subject draws its concepts from:

- Psychology
- Sociology
- Anthropology
- Economics
- Marketing

Why study Consumer Behavior?

- Consumers ***‘evolve’*** with time, learning, exposure and experience. They cannot be taken for granted.

e.g. People booked their railway tickets from the station counters, now they prefer online purchase thru website.
- As a consequence, a sound understanding of consumer behavior is a pre-requisite for sustained success of any marketing program

The study of Consumer Behaviour covers:

1. Consumers in the Market Place.
2. Consumers as individuals.
3. Consumers as decision makers.
4. Consumers and subcultures.
5. Consumers and cultures.

Marketing decisions

- **Market Segmentation:** Process of dividing the market into distinct subsets of consumers with common needs and characteristics and selecting one or more segments to target with distinct marketing mix. E.g. Bathing soap, detergents, shampoos etc.
- **Segment Marketing:** Serving needs of a particular group; different marketing mix for different segments. e.g. Vegetarian recipes by Haldiram.
- **Niche Marketing:** Marketing to a single group, tailoring the mix to their specific needs and attract them, allowing the firm to engage in relationship marketing. e.g. Nutralite bread spread, Diet Coke, Sugar – free etc.
- **Differentiated Marketing:** organizations sell multiple versions of a product; each appealing to different market segment. Differentiated strategy can produce greater sales. e.g. Pepsi in 300ml as well as 2 litres.
- **Individual Marketing:** tailoring market mix to suit individual customers and create value for each individual. e.g. Designer clothes by Ritu Kumar, Manish Malhotra.

Segment Bounding

- Means by which marketers differentiate among consumers and market segments.

Type	Examples
Demographic	Age, Gender, Education, Income, Occupation
Psychographic	Interests, Opinions, Values, Lifestyle
Psychological Influence	Personality, Self-image, Risk involvement, Attitude, Beliefs
Social Influence	Culture, Subculture, Social class, Reference group, household
Marketplace behavior	Recognizing needs, response to marketing & communication, price and product acceptance
Consumption behavior	Situation, usage rate, satisfaction, loyalty

Demographic Segmentation

- **Age:** Johnson's Baby Soap is targeted at kids between 0-5 years. NIIT ads target young adults in age group of 17-22 years.
- **Gender:** Obvious for products which are gender specific. e.g. Shaving Creams, Fairness Creams etc. However, changing roles are seen in other ads like detergents etc. (Ariel, Fair & Handsome etc)
- **Marital Status:** impact on consumption. Investments after marriage. e.g. Elle-18 depicts freedom as a spinster.
- **Household type:** Type and size of household matters. Kelloggs shows young household (couple with small kids)
- **Education:** Rational ads to educated, more emotional appeal to others.
- **Income:** Nescafe depicts sophistication, style (higher income), Bru a middle class household. Ability to pay. Fluence car for high income group.
- **Occupation:** employment data to design product positioning. Surf excel for field jobs (journalist ad)

Geographic Segmentation

- Clues on likely purchase behavior. Identifies segments based on geographical boundaries. People in a same area share similar needs. Regional differences are accounted for by climate, culture, religion, concentration etc. e.g. Coastal cities with heavy rainfall for K C Pal Umbrellas,
- Difference in needs among rural, urban and suburban areas. e.g. Eveready Torch for rural areas, emergency lights for sub-urban areas, CFL for Urban metros.
- Indian zones- viz. North, South, East and West greatly differs in their culture, food habits, TV viewing patterns, social customs etc; hence affecting their purchasing patterns. e.g. Regional TV Channels with regional programmes.
- Feasible for marketer to concentrate efforts and resources and fully utilize the available services.

Psychographic/ Psychological Segmentation

Refers to inner/ intrinsic qualities of an individual.

- **Motivation:** Understand 'why' of consumer's buying pattern. e.g. Why did ready to eat food items fail in India?
- **Desired Benefits:** need and benefits various segments seek from the product. e.g. convenience & comfort , S2: status symbol
- **Attitude:** attitude towards brands give rise to distinct segments. (negatives, functionalists, fun lovers etc. e.g. the 'my can' pack of Pepsi, Mountain Dew etc.
- **Lifestyle:** predict buyer behavior on the basis of attitude, interests and opinions (VALS 2)... Colgate for trust and traditions.
- **Personality:** one's personality determines the kind of product and the image thus associated. UCB- young and easy attitude, Reid & Tailor- corporate image.
- **Brand Loyalty:** measure of customer attachment to a particular brand. They prefer a particular product irrespective of thick and thin.
- **Behavior:** emotional and cognitive process going on inside a consumer's head, lead to many problems. Segmenting the market based on specific behavior patterns and product use. E.g. while travelling in a train most people buy magazines who otherwise do not buy.

Socio-Cultural Segmentation

- **Family Life Cycle:** All families pass through phases of formation, growth and dissolution. At each stage, requirements vary and hence becomes an important segment to be captured. (Maruti 800 ads in year 2000-01)
- **Social Class:** relative status and social standing is important to consumers. It is a function of income, education and occupation. Knowledge of buying patterns, behavior etc. is important to appeal to different segments. (Raymond)
- **Culture, Cross Culture & Sub culture:** segmenting the domestic and international markets on the basis of cultural heritage as members of the same culture share same values, beliefs and customs. Within the larger culture distinct subgroups and subcultures are united by certain experiences, values or beliefs and make effective segments. Culturally different segments. (Health conscious Indian urban upper middle class-LG)

Purchase Segmentation

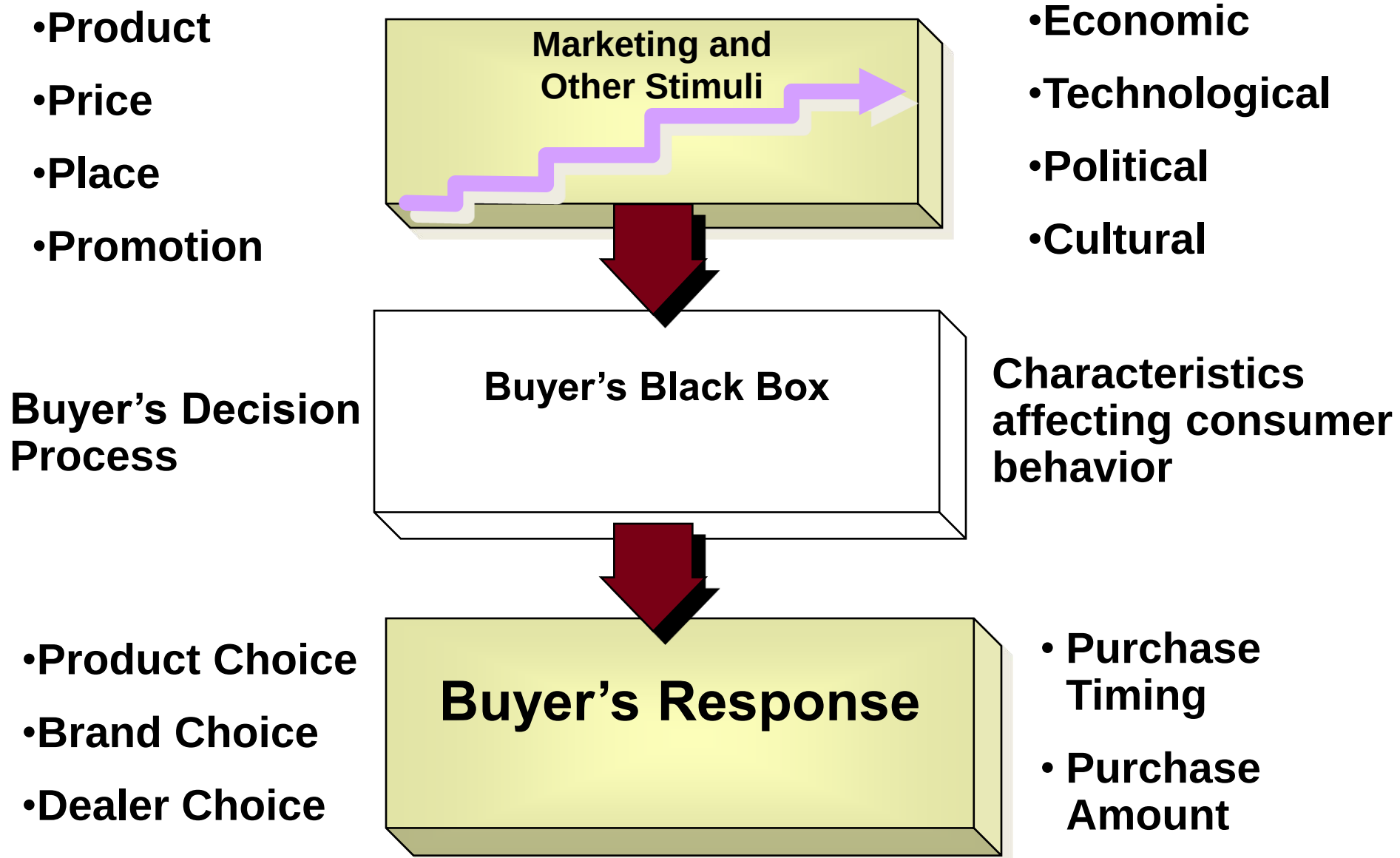
- **Usage rate:** segmenting based on the rate of product usage. Division of market into heavy, moderate and light users and planning the marketing mix differently for each. e.g. 'Frequent Flyer' scheme of airlines
- **Loyalty status:** consistency with which consumers continue to buy same brand of a particular product and show their commitment. e.g. 'Loyalty Cards' offered by retail stores.
- **User status:** whether consumers have used the product in past, use it currently or are likely to use the same in future. Different mix could be needed for each category. e.g. Upgrade your Godrej Refrigerator, return the old one and buy a frost-free one.

Stimulus – Response Theory

Pavlov's Classical Conditioning Theory:

- Whenever you hear the 'Intel' jingle, you recall 'Intel'
- Whenever you see the name 'McDonald', you are reminded of Burgers.
- Whenever you see the Amul 'Butter Girl' you are reminded of 'Amul Butter'.

Model of Consumer Behavior



Viewpoints on Studying Consumer Behavior

Logical Positivism

- Understanding consumer behavior and predicting
- Cause and effect relationships that govern persuasion and/or education

Modern

- Understand consumption behavior without any attempt to influence it.

Few findings which motivated study of Consumer Behavior

- Of all the products launched every year, only 55% survive five years later.
e.g. FIAT launched Uno, Palio, Sienna, Punto etc but they could not survive profitably.
- Of the various new product concepts offered by over 100 leading companies, only 8% reached the market and out of this 8% only 17% achieved the marketing objectives.
e.g. HUL launched pre-cooked ready-to-eat rice, in line with Nestle's Maggi, but failed miserably.

Satisfying the consumer's need is more important than the expectations of the management.

For survival, there is not option before the companies but to understand and adapt to consumer motivation and behavior.

Effective Marketing can positively influence the consumer, provided the product/service offered satisfies his/her needs and expectations

The right marketing program can activate a latent demand and lead to successful sales.

Consumer Research: *The Dominant Forces*

- Economy moving from – ‘production/product-centric’ to ‘market/customer-centric’.
e.g. Hindustan Motors (Ambassador) followed product centric approach and lost its market share to Maruti which followed the customer centric approach.
- Better understanding of human behavior through improved tools of psychology and other behavioral sciences.

The Marketing Challenge: *Environmental factors*

- Extent of gap between the supply and demand of the valid products/services. *e.g. LPG cylinders are often sold at a 'premium' due to demand-supply gap.*
- Speed and accuracy of communication with/from customers. *e.g. Most PSU Banks lost their market share to Private Banks because of speed & accuracy of communication.*
- Efficient and multiple distribution channels. *e.g. sales of telephone connections increased after mobile service providers started appointing dealers, contrary to MTNL & BSNL.*
- Marketers power to influence and induce channel partners to comply with overall marketing strategy. *e.g. certain Dish Antenna companies offer certain channels free.*
- National & Global Economic growth.

What is Motivational Research?

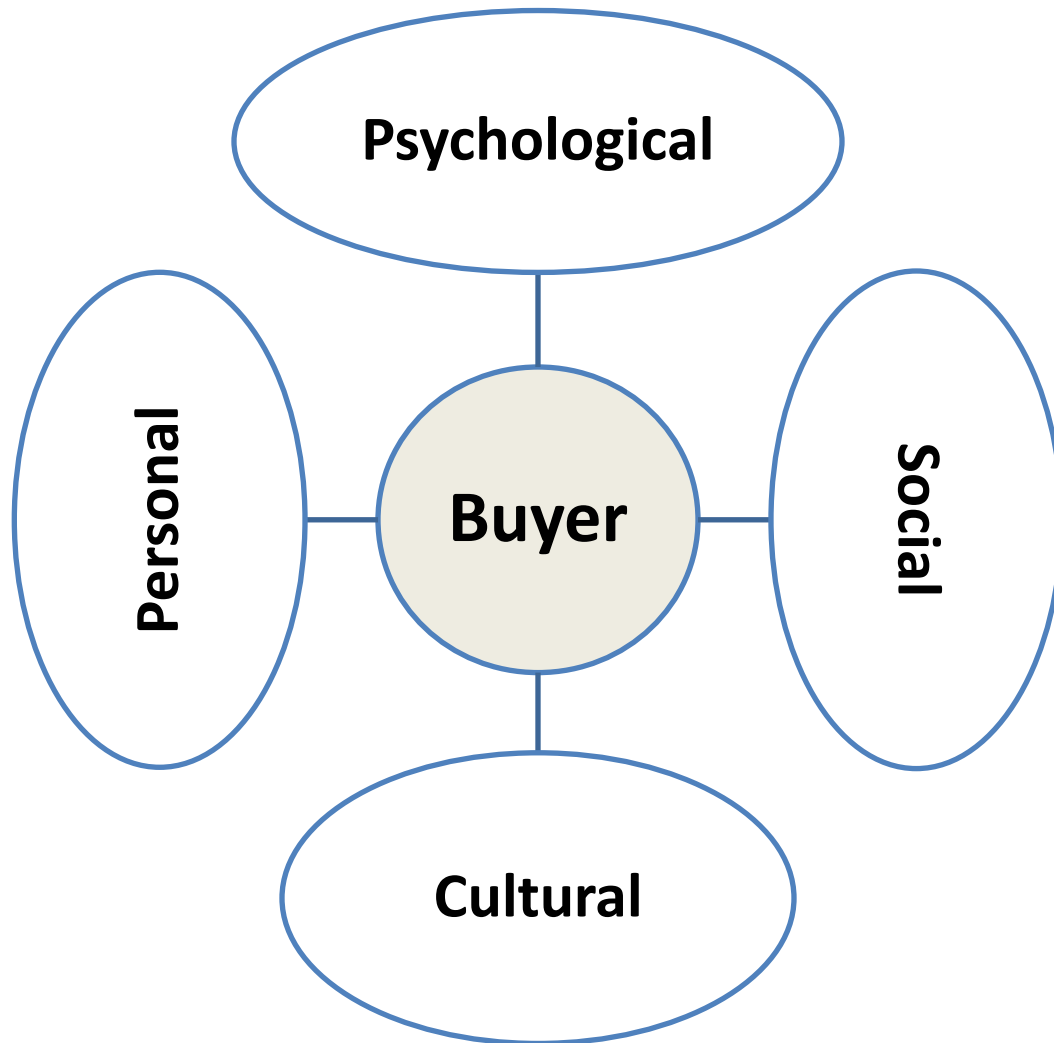
Study to explore the factors that motivate consumers in making choices. The techniques delve into the conscious, subconscious and the unconscious state of the consumer.

‘Bata sells lovely feet, and not foot-ware’.

‘Women don’t buy Ponds, they buy hope.’

‘While buying a Rolex, people don’t buy a time-keeping machine, rather style’.

Characteristics AffectingConsumer Behavior



Factors Affecting Consumer Behavior: Culture

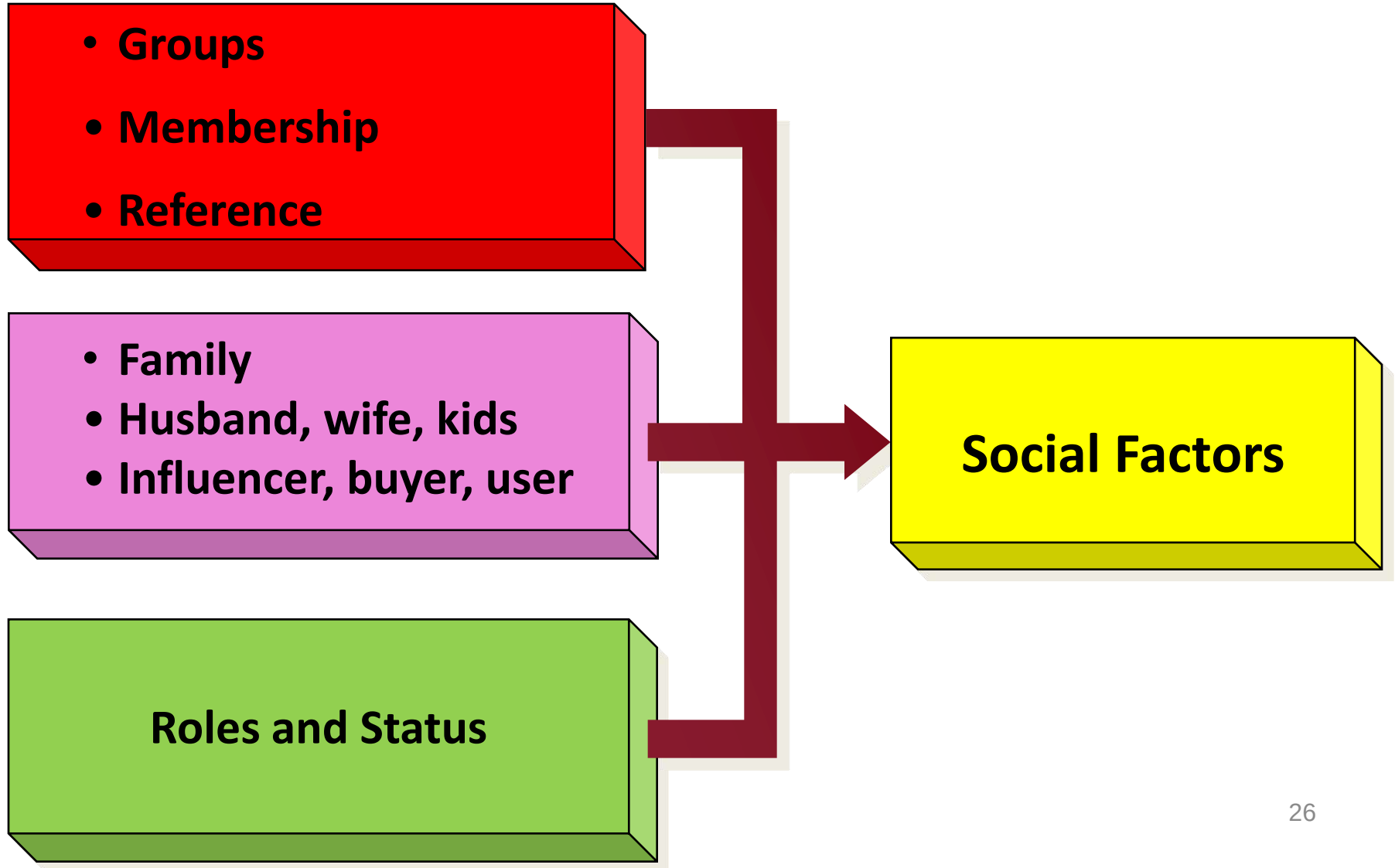
- **Values** – Honesty e.g. *Tata is an 'honest brand'*
- **Perceptions** – e.g. *'fair & lovely' will make you fairer.*
- **Subculture** - Groups of people with shared value systems based on common life experiences.

Example: Hispanic Consumers, African American Consumers, Asian American Consumers, Mature Consumers

- **Social Class** - People within a social class tend to exhibit similar buying behavior.

Example: Occupation, Income, Education, Wealth

Factors Affecting Consumer Behavior: Social



Factors Affecting Consumer Behavior:

Personal

Personal Influences

- Age and Family Life Cycle Stage
- Occupation
- Economic Situation
- Personality & Self-Concept

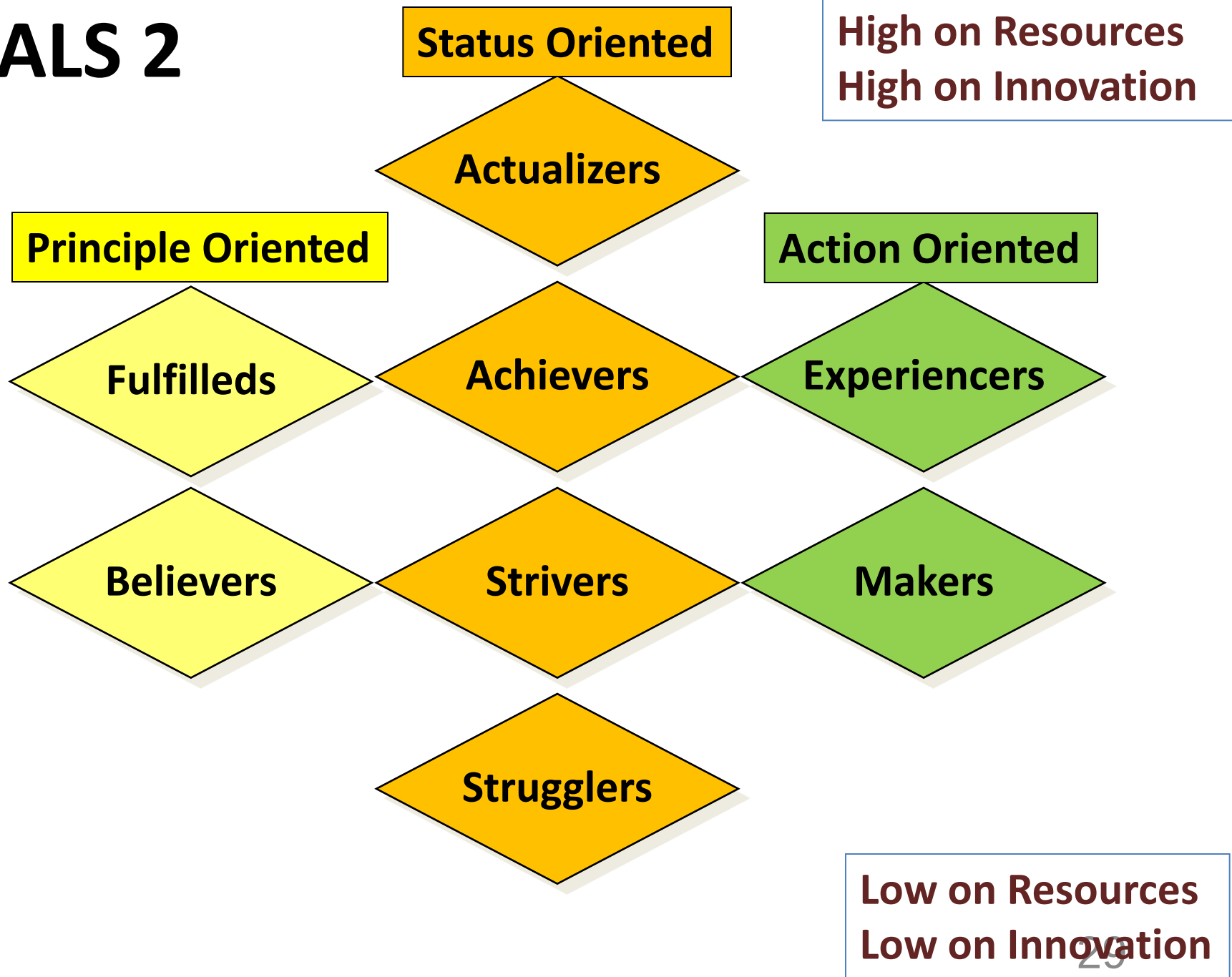
Lifestyle Identification

- Activities
- Interests
- Opinions

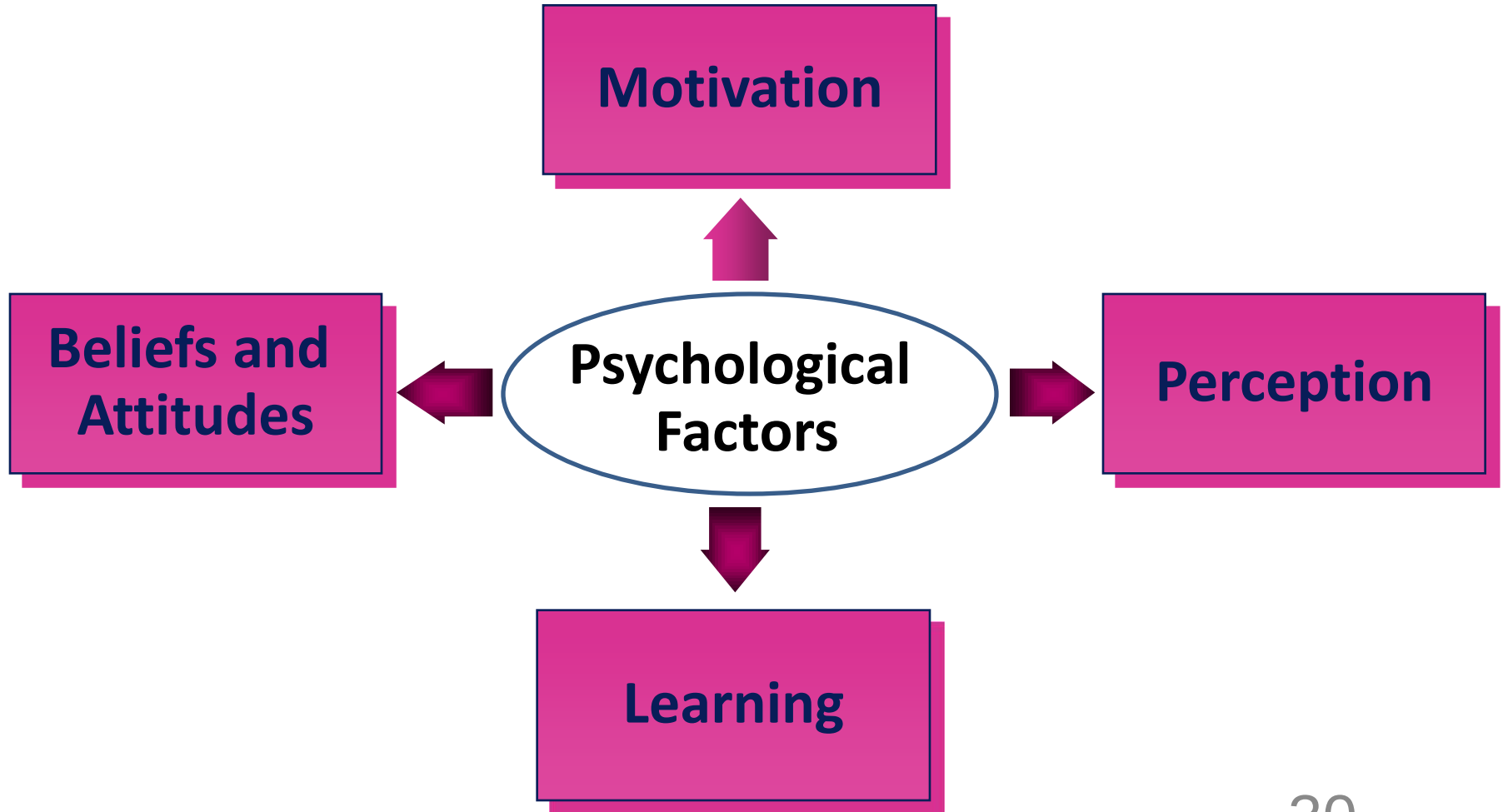
Lifestyle Dimension

Activities	Interests	Opinions	Demographics
Work	Family	Themselves	Age
Hobbies	Home	Social issues	Education
Social events	Job	Politics	Income
Vacation	Community	Business	Occupation
Entertainment	Recreation	Economics	Family size
Club membership	Fashion	Education	Dwelling
Community	Food	Products	Geography
Shopping	Media	Future	City size
sports	Achievements	Culture	Stages in life cycle

VALS 2



Factors Affecting Consumer Behavior: Psychological



What is Motivation?

Motivation refers to an activated state within a person that leads to goal-directed behavior.

It consists of the drives, urges, wishes, or desires that initiate the sequence of events leading to a behavior.

e.g. A banner announcing “**50% off**” on Lewis Jeans – *leading to youth discussing plans to visit the store.*

A combo pack of “**Harpic & Odonil**” - *leading housewives shifting their favorite store.*

- Motivation begins a stimulus that leads to the recognition of a need. *E.g. the free Odonil with Harpic was a stimulus for the housewife.*
- Need recognition occurs when a perceived discrepancy exists between an actual and a desired state of being
 - Needs can be either innate or learned.
 - Needs are never fully satisfied.
 - Feelings and emotions accompany needs
- Expressive needs involve desires by consumers to fulfill social and/or aesthetic requirements. *E.g. buying of a M F Hussain Painting*
- Utilitarian needs involve desires by consumers to solve basic problems . *E.g. filling a car's gas tank.*

The Types of Emotions

- The Ten Emotions People Experience:

Disgust

Joy

Sadness

Fear

Shame

Interest

Surprise

Anger

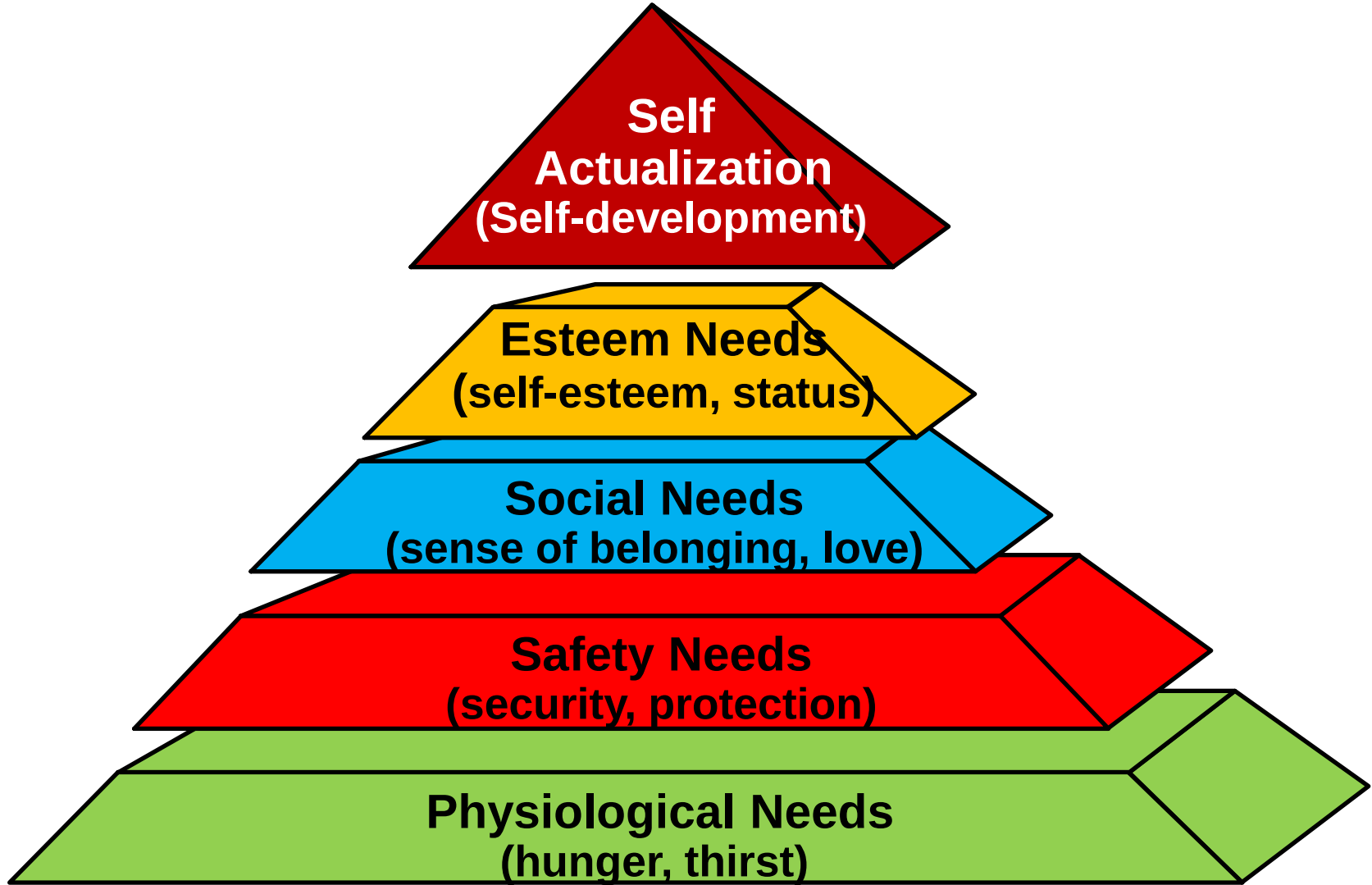
Contempt

Guilt

Some General Theories of Motivation

- Maslow's Need Hierarchy
- McClelland's Theory of Learned Needs
 - Achievement motivation is seeking to get ahead, to strive for success, and to take responsibility for solving problems.
 - Need for affiliation motivates people to make friends, to become members of groups, and to associate with others.
 - Need for power refers to the desire to obtain and exercise control over others.
 - Need for uniqueness refers to desires to perceive ourselves as original and different.

Maslow's Hierarchy of Needs



Learning

Kotler's Definition : Learning involves changes in an individual's behaviour arising out of experience. Most of the human behaviour is learned over time out of experience.

Schiffman and Kanuk's Definition : Learning is a process by which individuals acquire the purchase and consumption knowledge and experience that they apply to future related behaviour.

Loudon and Della Bitta's Definition : Learning can be viewed as a relatively permanent change in behaviour occurring as a result of experience.

The salient features of Learning :

1. Consumer learning is a process, and thus it continuously changes and evolves as a result of newly acquired knowledge.
2. This knowledge can be obtained from reading, discussing, observing, thinking, etc. Or from actual experience.
3. Both the newly acquired knowledge and personal experience serve as a feedback.
4. This also serve as a future behaviour in similar situations.
5. Not all learning is deliberate. Learning can be :
 - Intentional : acquired as a result of careful search for information with effort.
 - Incidental : acquired as a result of accident or by the way, without much effort.
6. The term “Learning” generally covers all ranges of learning from simple reflexive responses to abstract concepts or complex problem solving capability.

ELEMENTS OF LEARNING

1. Motives, motivation or drive is very important for learning. E.g. showing ads for winter goods just before winter and summer products just before summer.
2. Cues - Motives stimulate learning, whereas “Cues” are the stimuli that give direction to these motives. E.g. in the market place, price, styling, packaging, store display all serve as cues to help consumer to decide a particular product from a group.
3. Response - Response is how the consumers react to the motives or a cue, and how they behave. Response can be overt (open, physical or visible) or covert (hidden or mental).
4. Reinforcement - Reinforcement is an important element which increases the probability (tendency or likelihood) of a particular response to occur in future as a result of a given set of motives and cues.

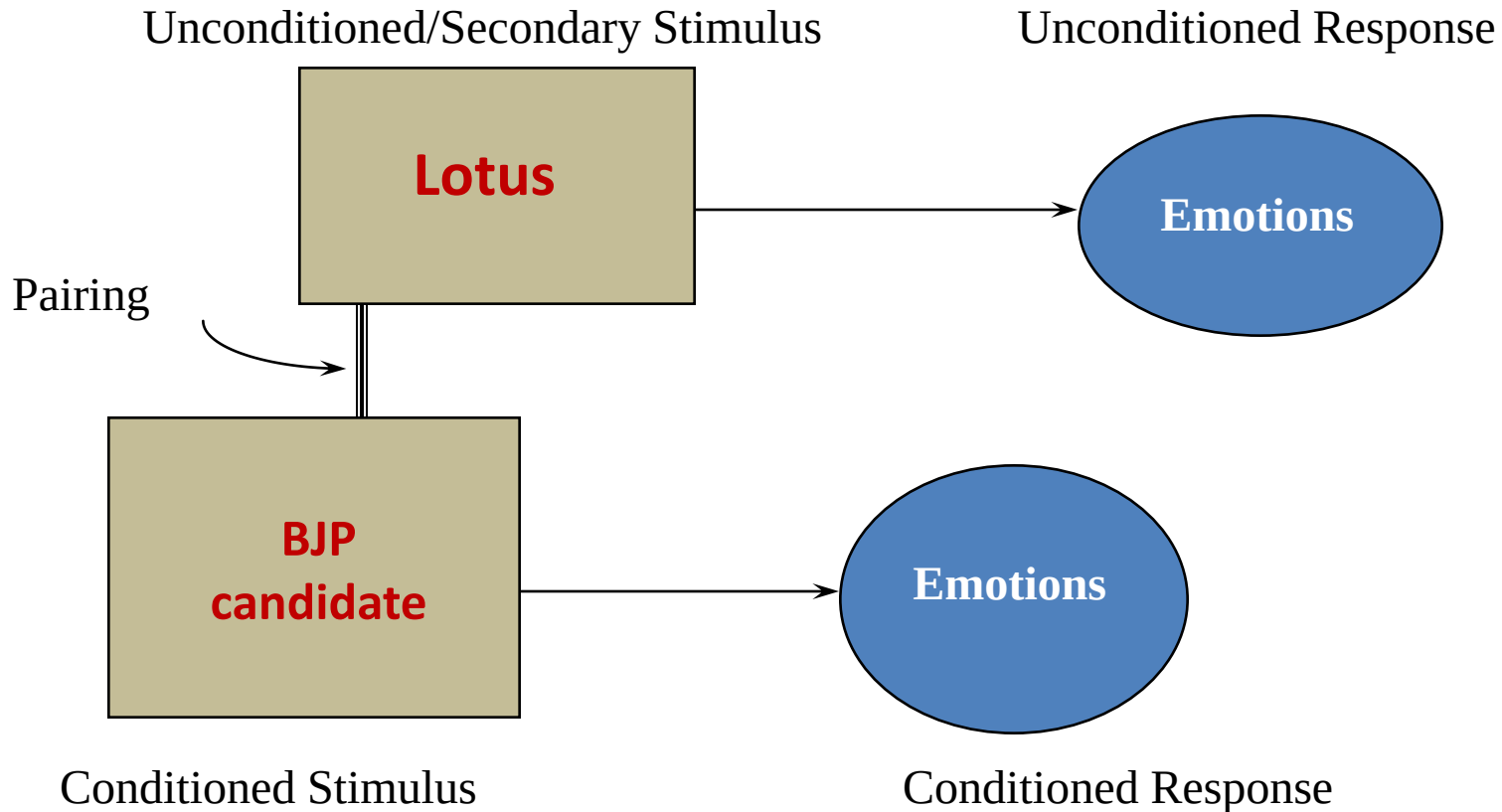
Classical Conditioning

- *E.g. 'Zoo Zoo' paired with Airtel means mobile service provider.*
- *E.g. whenever we see 'Kingfisher' we are reminded of the airlines company*

We can say.....

- A neutral stimulus, such as a brand name, is paired with a stimulus that elicits a response.
- Through a repetition of the pairing, the neutral stimulus takes on the ability to elicit the response.

Classical Conditioning Relations



Classical Conditioning: Applications

- Applications: communications--advertising, public relations, personal selling.
- Goal: identify powerful positive stimulus and associate brand with it.
- Examples of powerful, emotion causing stimuli:
 - beautiful people
 - patriotic themes, religious symbols
 - Music, beautiful scenes
 - Also, negative stimuli can be associated with competitors.
 - Credit card insignia may elicit spending responses

Operant Conditioning :

The process in which the frequency of occurrence of a bit of behavior is modified by the consequences of the behavior.

- If positively reinforced, the likelihood of the behavior being repeated increases. *E.g. buy one shirt, get another shirt at 50% discount. Buy two shirts, get the third at 75% discount.*
- If punished, the likelihood of the behavior being repeated decreases. *E.g. the more electricity you use, the rate per unit increases.*

Reinforcement & Influencing Behavior

- A reinforcer is anything that occurs after a behavior and changes the likelihood that it will be emitted again.
 - Positive reinforcers are positive rewards that follow immediately after a behavior occurs.
 - Negative reinforcers are the removal of an aversive stimulus.

Secondary reinforcers . . .

. . . are a previously neutral stimulus that acquires reinforcing properties through its association with a primary reinforcer.

- Over a period of time, previously neutral stimuli can become secondary reinforcers.
- In marketing, most reinforcers are secondary (e.g. a product performing well, a reduction in price)

A Punisher . . .

. . . is any stimulus whose presence after a behavior decreases the likelihood of the behavior reoccurring.

e.g. anti-smoking ads.

Extinction & Eliminating Behaviors

- Once an operant response is conditioned, it will persist as long as it is periodically reinforced.
- Extinction is the disappearance of a response due to lack of reinforcement.

Perception

Selecting, organizing and interpreting information in a way to produce a meaningful experience of the world is called perception.

Three different perceptual processes

Selective Exposure	Consumer pays attention to certain stimuli and ignores others
Selective Comprehension	Consumer interprets info so that it is consistent with his beliefs
Selective Retention	Average consumer only remembers 30% of information heard

Perceived risk

Perceived risk represents the anxieties felt because the consumer cannot anticipate the outcomes of a purchase but believes that there may be negative consequences.

Perceived risk is a consumer's perception of the overall negativity of a course of action based upon an assessment of the possible negative outcomes and of the likelihood that these outcomes will occur.

Perceived risk consists of two major concepts - the negative outcomes of a decision and the probability these outcomes will occur.

7 Types of Consumer Risks.

- Financial/Economic
- Performance
- Physical/Personal
- Psychological
- Social
- Time
- Opportunity Loss

Factors Influencing Risk Perception

- Characteristics of the person—e.g., need for stimulation
- Nature of the task
 - Voluntary risks are perceived as less risky than involuntary tasks.
- Characteristics of the product—price
- Salience of negative outcomes

Six risk-reduction strategies

- Be brand loyal and consistently purchase the same brand.
- Buy through brand image and purchase a quality national brand.
- Buy through store image from a retailer that you trust.
- Seek out information in order to make a well informed decision.
- Buy the most expensive brand, which is likely to have high quality.
- Buy the least expensive brand in order to reduce financial risk.

Beliefs & Attitudes

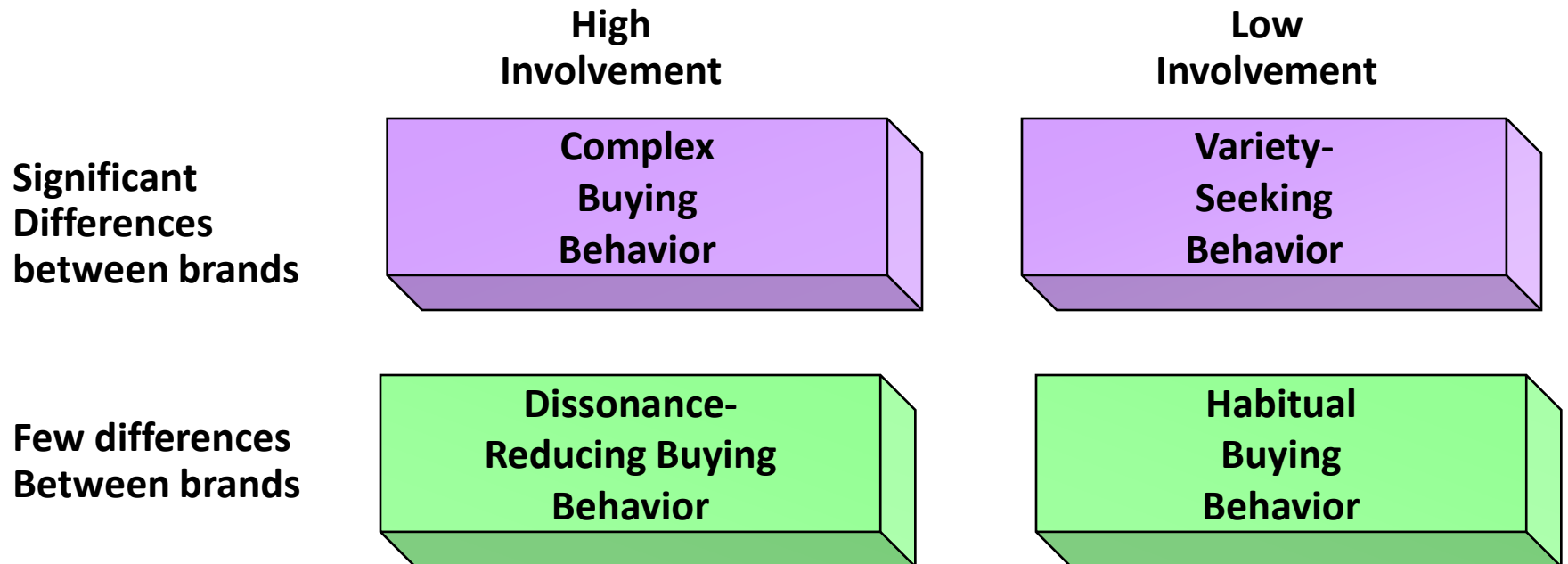
Belief

- A descriptive thought about a brand or service
- May be based on real knowledge, opinion or faith

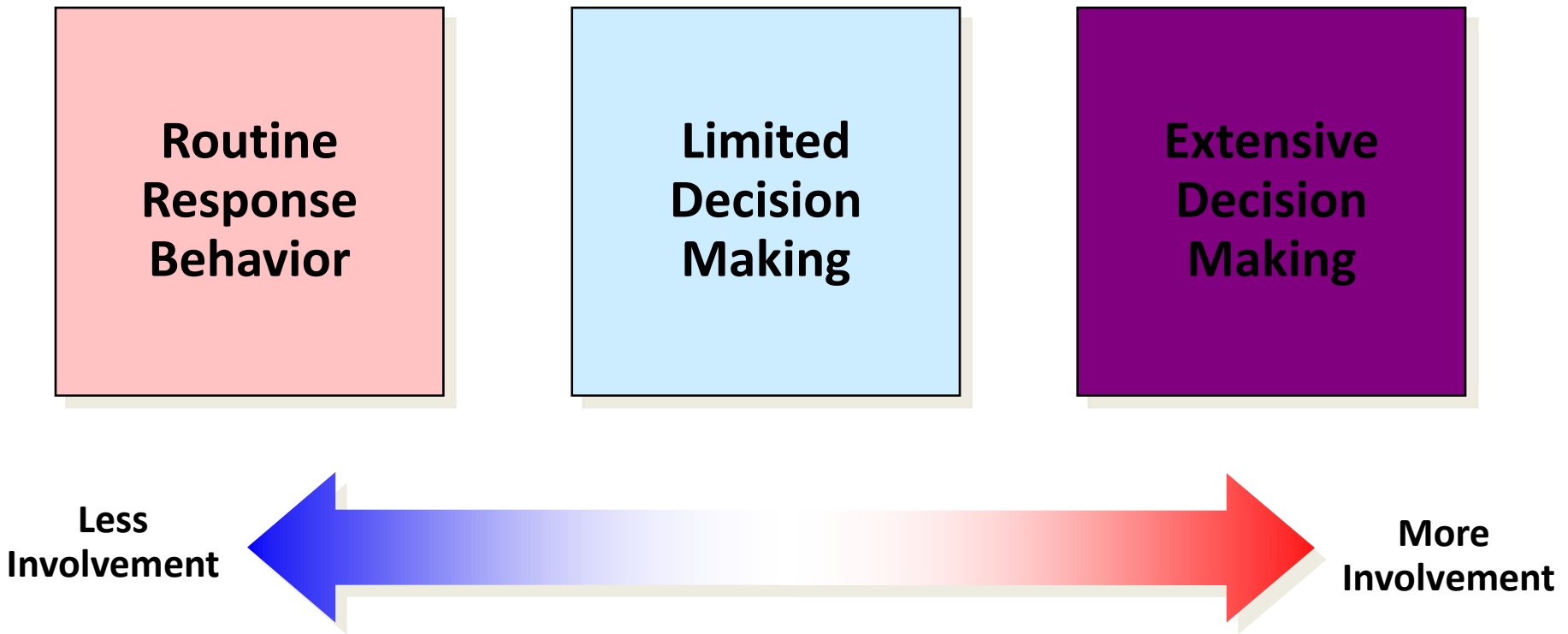
Attitude

- Describes a person's evaluations, feelings and tendencies towards an object or idea
- They are difficult to change

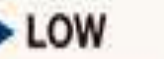
Types of Buying Decisions



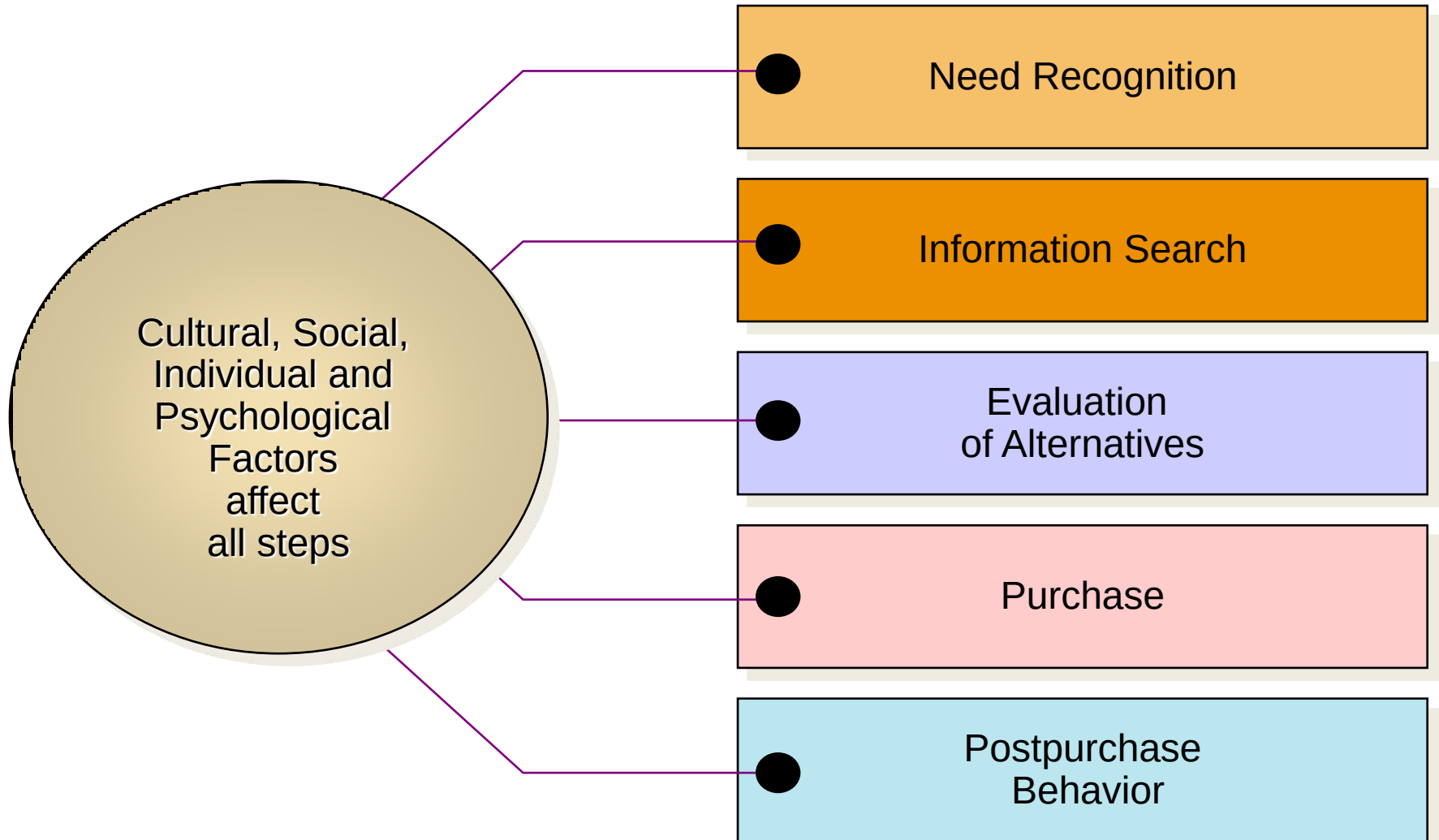
Involvement and Problem-Solving Variations



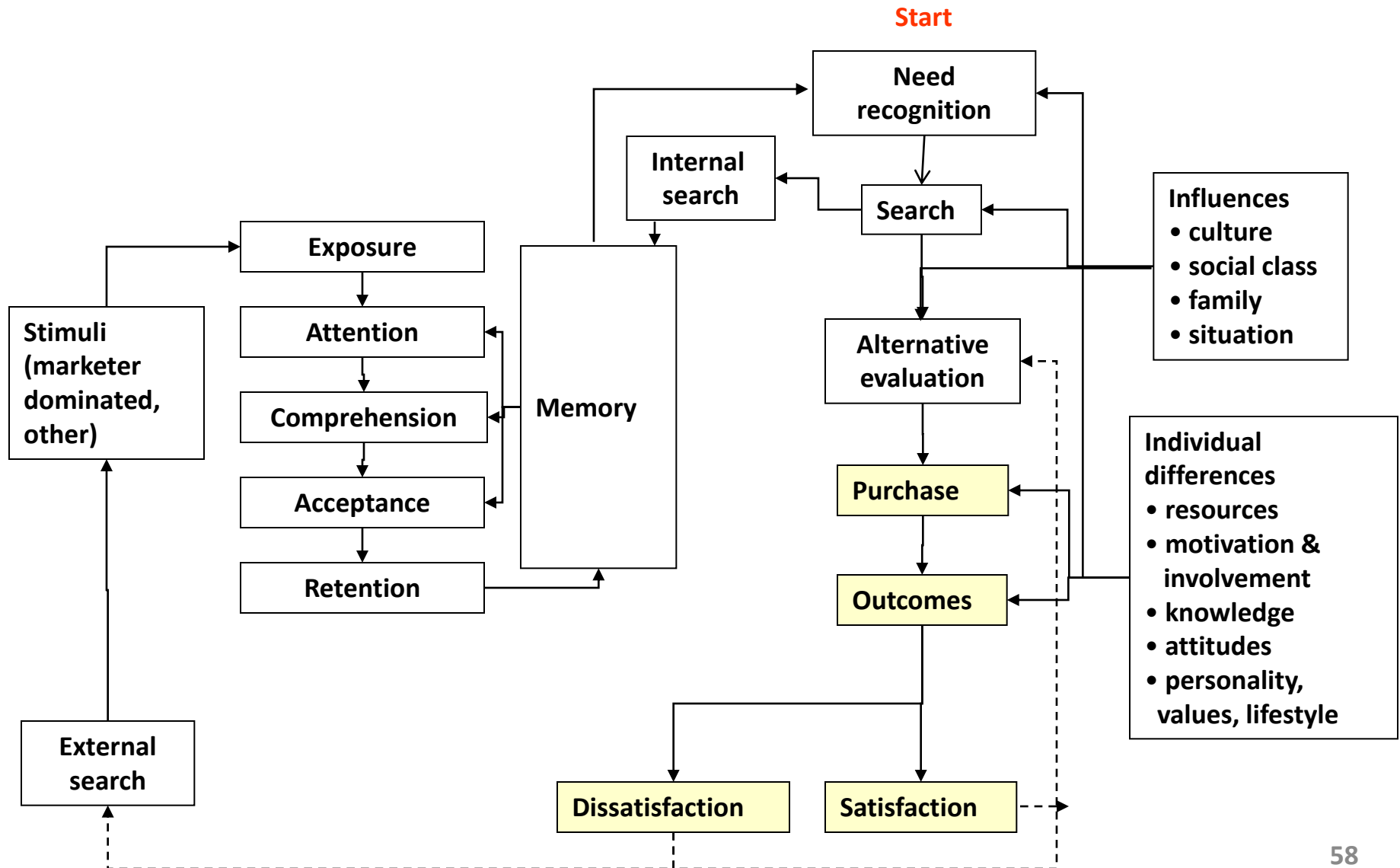
Comparison of problem-solving variations

CHARACTERISTICS OF THE CONSUMER PURCHASE DECISION PROCESS	HIGH  CONSUMER INVOLVEMENT  LOW		
	EXTENDED PROBLEM SOLVING	LIMITED PROBLEM SOLVING	ROUTINE PROBLEM SOLVING
Number of brands examined	Many	Several	One
Number of sellers considered	Many	Several	Few
Number of product attributes evaluated	Many	Moderate	One
Number of external information sources used	Many	Few	None
Time spent searching	Considerable	Little	Minimal

Consumer Decision-Making Process



Complete model of consumer behavior



Some questions.....

- **How do we know when to shop or buy a product/service?**
- **What are the triggers that initiate an awareness & search?**
- **What are the internal & external sources of such triggers?**

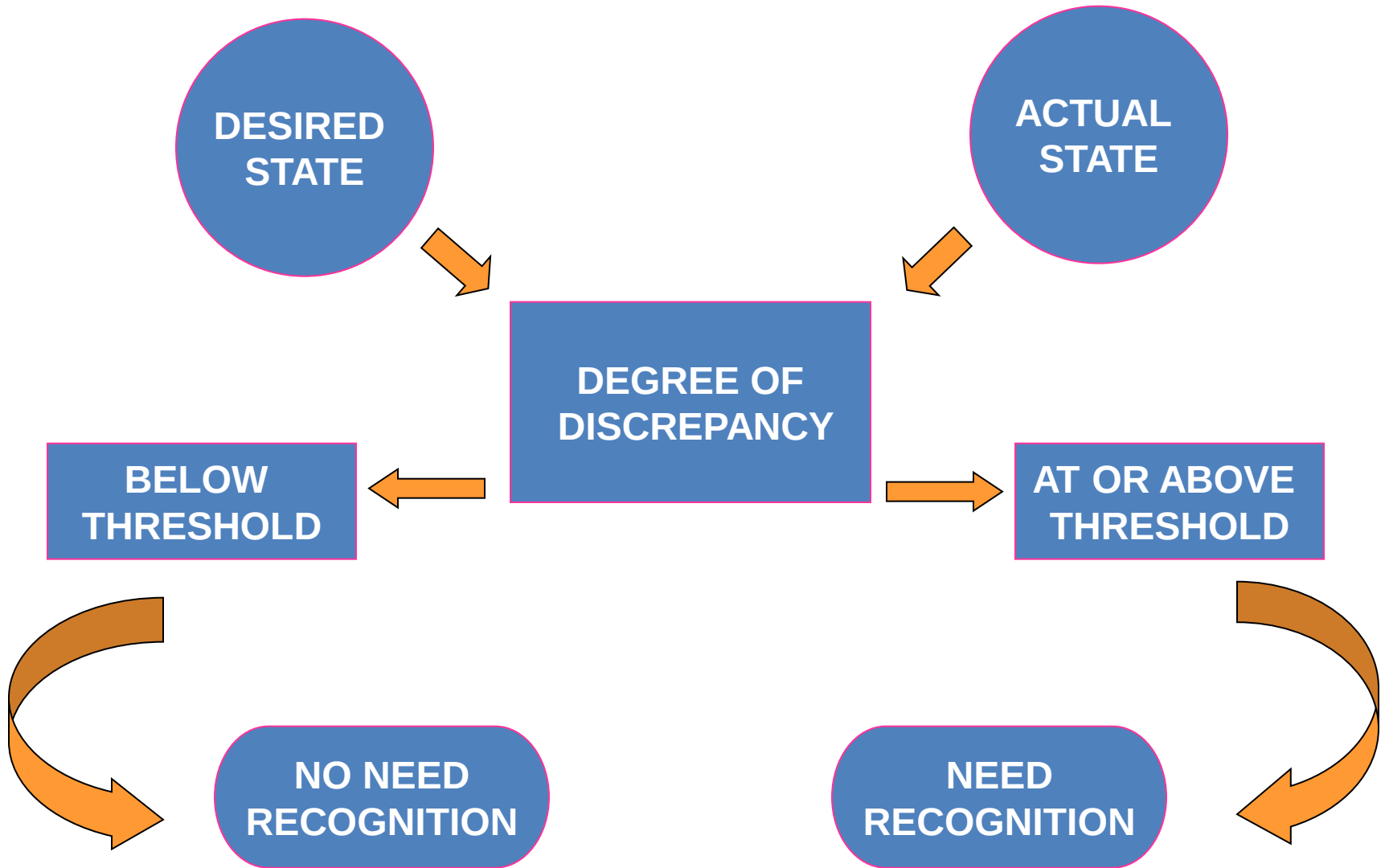
WHAT ACTIVATES THE NEED ?



Need Recognition

- **When the current product/service is not satisfying the need**
- **When the consumer is running out of an product/service**
- **When another product/service seems superior to the one currently being used**

NEED: DEGREE OF DISCREPANCY



The information search stage

Internal search involves the scanning of one's memory to recall previous experiences or knowledge concerning solutions to the problem/satisfying need.

Generally done for frequently purchased products/low involvement products/services .

External search may be necessary when past experience or knowledge is insufficient, the risk of making a wrong purchase decision is high, and/or the cost of gathering information is low.

Generally done for high involvement products

External Sources for Search

Personal Sources →

- Family, friends, neighbors
- Most influential source of information

Commercial Sources →

- Advertising, salespeople
- Receives most information from these sources

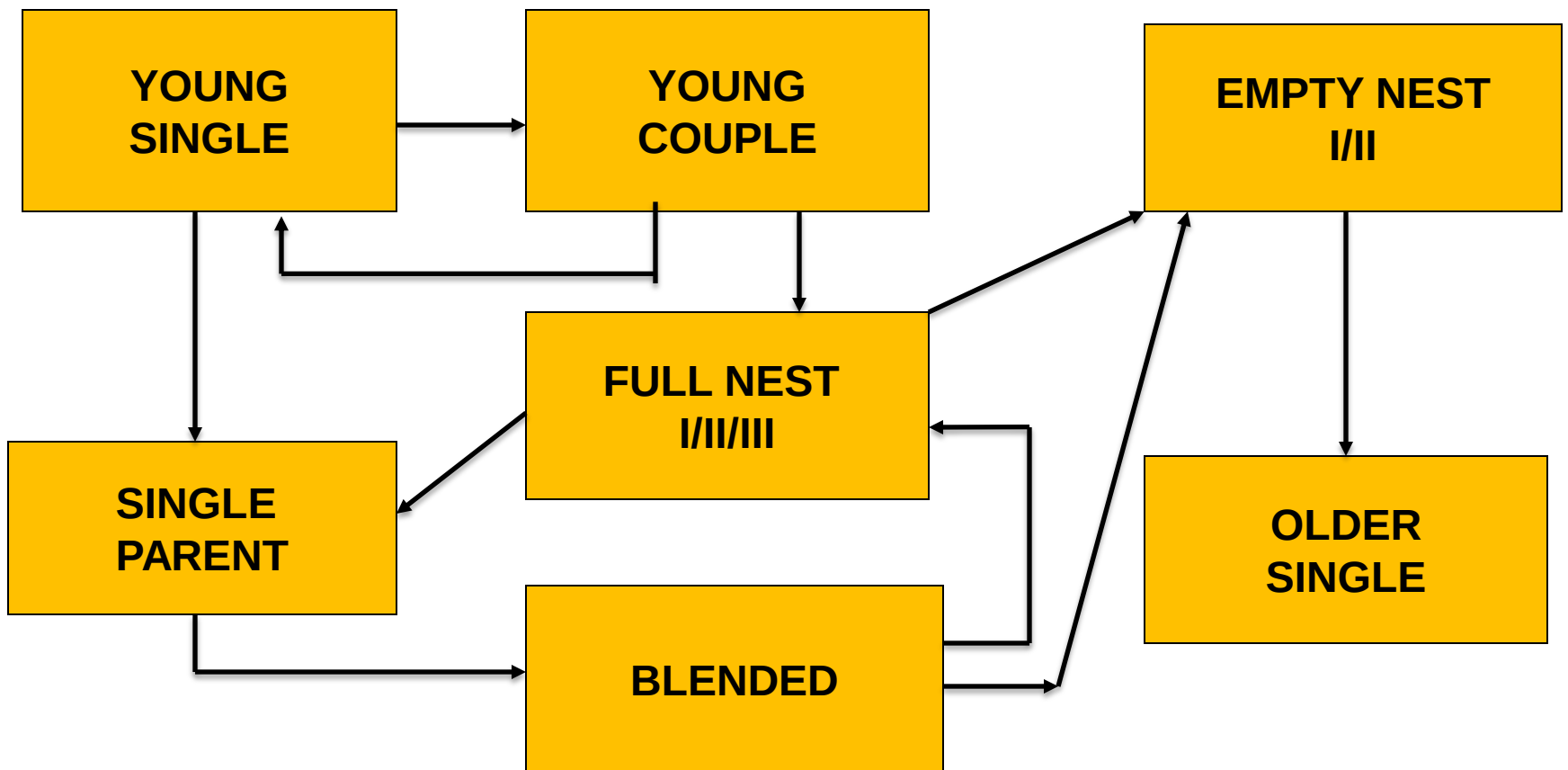
Public Sources →

- Mass Media
- Consumer-rating groups

Experiential Sources →

- Handling the product
- Examining the product
- Using the product

Potential Family Life Cycle Stages



Evaluation of Alternatives

Product Attributes

Evaluation of Quality, Price, & Features

Degree of Importance

Which attributes matter most to me?

Brand Beliefs

What do I believe about each available brand?

Total Product Satisfaction

Based on what I'm looking for, how satisfied would I be with each product?

Evaluation Procedures

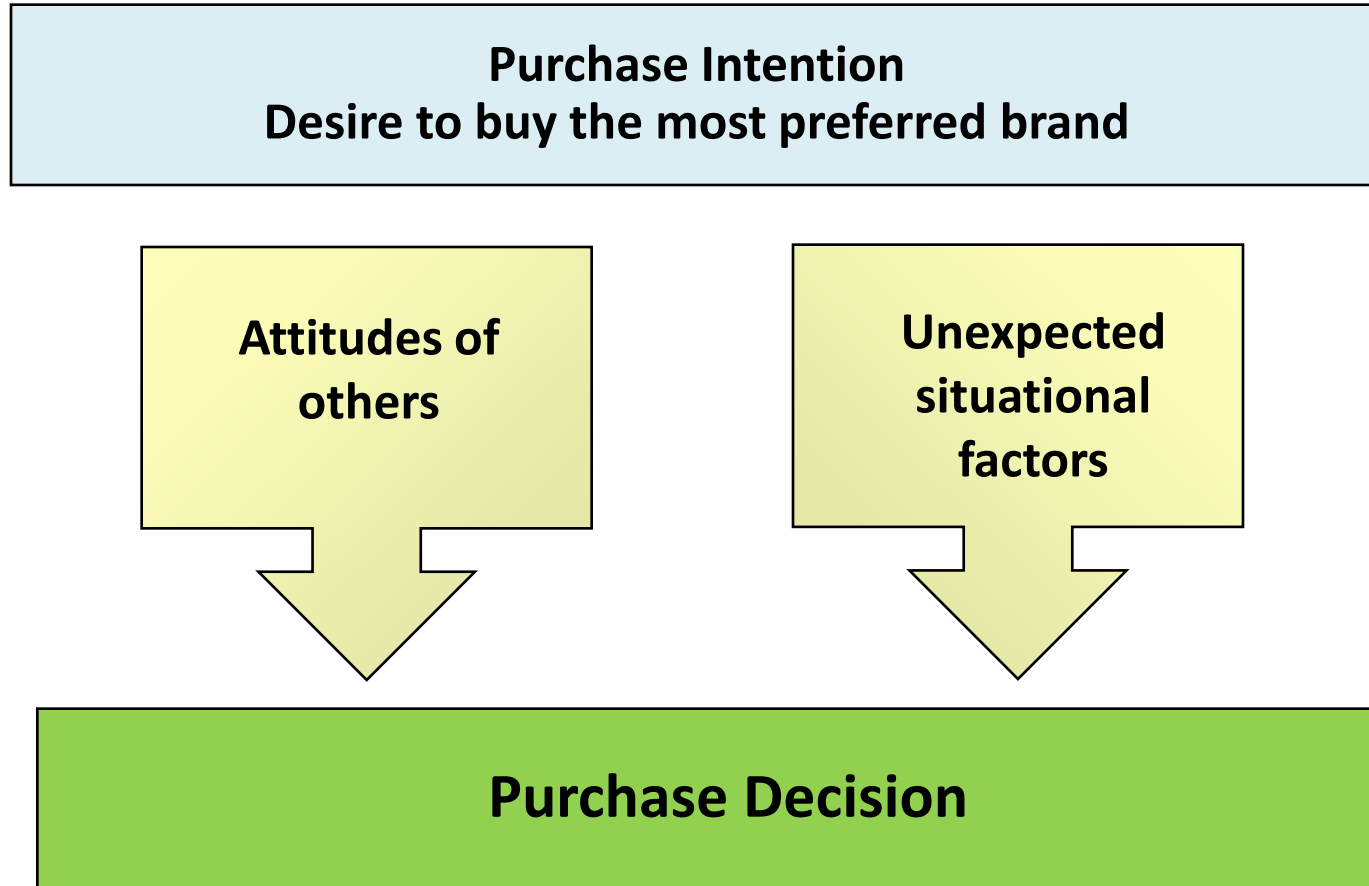
Choosing a product (and brand) based on one or more attributes.

Choosing a Brand on the basis of degree of importance of the determinant attributes

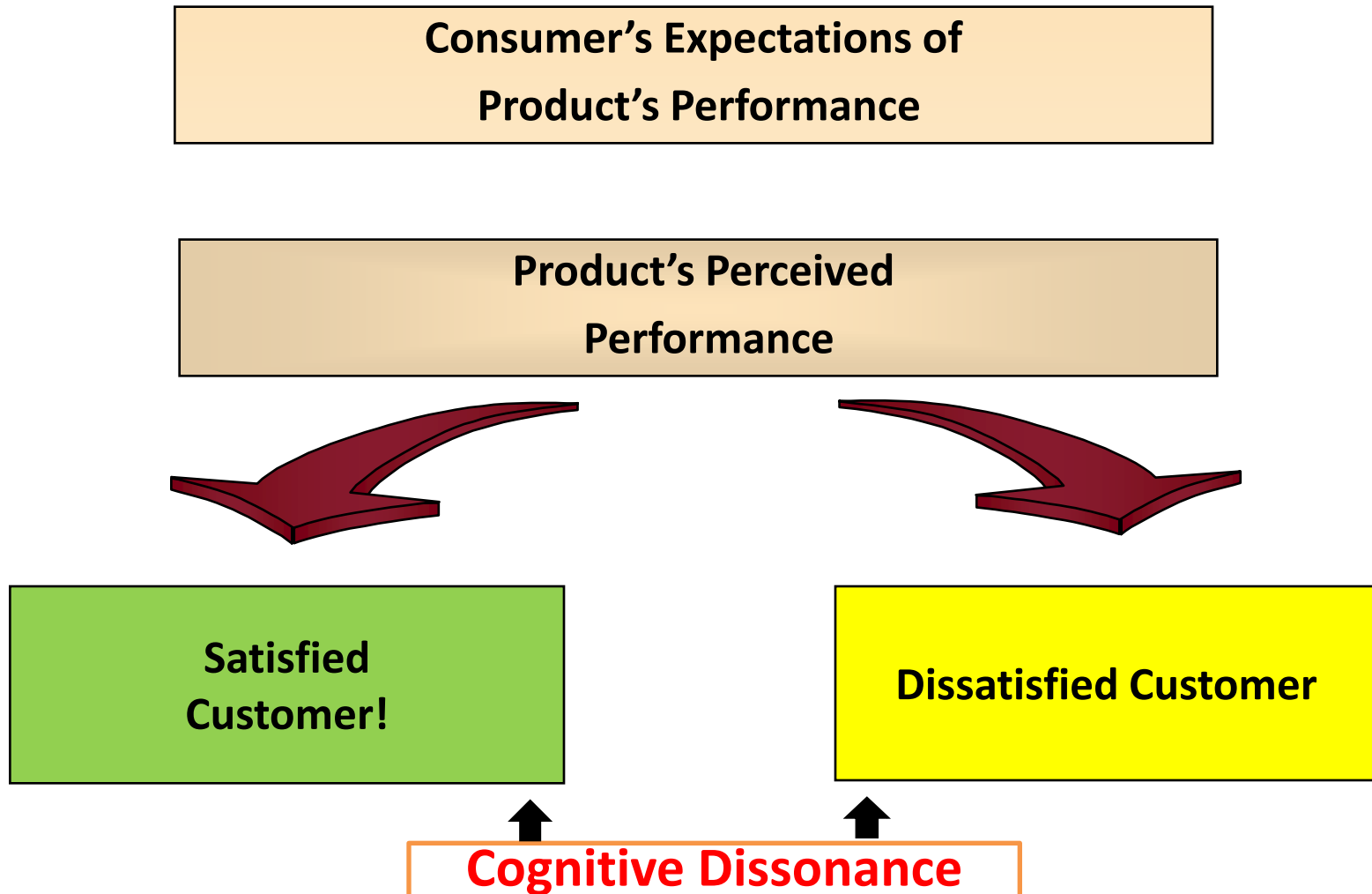
Degree of Importance		LG	SAMSUNG	VIDEOCON	SONY
5	Brand Name	4	4	2	5
4	Picture Quality	4	4	2	5
3	Looks/Design	5	5	3	4
2	Price	3	4	5	2
1	After Sales Service	5	5	3	2

LG	$4 \times 5 + 4 \times 4 + 5 \times 3 + 3 \times 2 + 5 \times 1 =$	62
SAMSUNG	$4 \times 5 + 4 \times 4 + 5 \times 3 + 4 \times 2 + 5 \times 1 =$	64
VIDEOCON	$2 \times 5 + 2 \times 4 + 3 \times 3 + 5 \times 2 + 3 \times 1 =$	40
SONY	$5 \times 5 + 5 \times 4 + 4 \times 3 + 2 \times 2 + 2 \times 1 =$	63

Purchase Decision



Post-Purchase Behavior



Reference Books

- **Consumer Behavior, 10/e,**
Pearson Education,
Leon G. Schiffman, Leslie Lazar Kanuk, S Ramesh Kumar
- **Consumer Behavior: Building Marketing Strategy**
McGraw Hill education
Del Hawkins, David Mothersbaugh, Amit Mookherjee
- **Consumer Behavior: Concepts and Applications**
David L. Loudon and Albert J. Della Bitta

Types of Consumer Behavior

